

**FEDERAL MARITIME COMMISSION**

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**DOCKET NO. 17-08**

**CARLSTAR GROUP LLC f/k/a CARLISLE TRANSPORTATION PRODUCTS, INC.  
and CTP TRANSPORTATION PRODUCTS, LLC**

**v.**

**UTi, UNITED STATES, INC.; UTi UNITED STATES, LLC; and DSV AIR & SEA, INC.**

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**INITIAL DECISION PARTIALLY DISMISSING COMPLAINT<sup>1</sup>**

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**INTRODUCTION**

**I. BACKGROUND.**

On August 31, 2017, complainants The Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc., and CTP Transportation Products, LLC, filed a Complaint with the Commission alleging that respondents UTi, United States, Inc.; UTi, United States, LLC; and DSV Air & Sea, Inc., violated sections 41102(c), 41104(2), and 41104(4) of the Shipping Act of 1984. 46 U.S.C. §§ 41102(c), 41104(2), and 41104(4). Although Carlisle is the entity that signed the Carlisle Transportation Products Agreement (Agreement) that is the subject of this proceeding, in their Complaint, Complainants refer to themselves as Carlstar. For convenience, except when describing the Agreement, they will be referred to as Carlstar in this memorandum. Respondents will be referred to as UTi, the non-vessel-operating common carrier (NVOCC) that signed the Agreement.

On joint motion of the parties, the time for UTi to answer or otherwise respond to the Complaint was extended twice to give the parties an opportunity to engage in settlement discussions and mediation with the Commission's Office of Consumer Affairs and Dispute Resolution Services (CADRS). *Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP*

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<sup>1</sup> The initial decision on the part of the Complaint that is dismissed will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

*Transportation Products, LLC v. UTi, United States, Inc.; UTi United States, LLC; and DSV Air & Sea, Inc.*, FMC No. 17-08 (ALJ Sept. 28, 2017) (Order Staying Proceeding for Limited Time) (*Carlstar v. UTi*); *Carlstar v. UTi*, FMC No. 17-08 (ALJ Oct. 23, 2017) (Second Order Staying Proceeding for Limited Time). Settlement discussions did not result in resolution of the parties' dispute.

On December 8, 2017, UTi filed a motion to dismiss the Complaint for lack of subject matter jurisdiction and for failure to state a claim. UTi also contends that the Agreement between the parties requires that their dispute be resolved by arbitration, not on a complaint filed with the Commission. If the Complaint is not dismissed in its entirety, UTi argues that the Act's statute of limitations bars claims for alleged violations that occurred more than three years before Carlstar filed its Complaint.

On December 26, 2017, Carlstar filed a response to the motion. Carlstar argues that the Agreement "should be considered a 'service contract' under 46 U.S.C. § 41104(2)(A)." (Carlstar Response at 3.) Carlstar argues that "UTi needs to justify that the charges were covered by the service contracts, which it did not record, or were authorized by properly filed tariffs or an alternative Commission-compliant rate vehicle." (*Id.* at 5.) A request by UTi for enlargement of time to reply was granted with instructions for UTi to address the effect, if any, of agreements tolling the statute of limitations described in paragraphs 32 through 34 of the Complaint on UTi's statute of limitations argument. *Carlstar v. UTi*, FMC No. 17-08 (ALJ Dec. 29, 2017) (Order Enlarging Time to File Reply Memorandum).

On January 2, 2018, an order was entered directing Carlstar to file a supplemental memorandum setting forth its contentions regarding the operational status of UTi on the shipments that were subject to the parties' transportation agreement because it was not "clear from Complainants' Complaint, the Carlisle Transportation Products Agreement, or Complainants' opposition to Respondents' motion to dismiss whether Complainants contend UTi was operating as an NVOCC or an ocean freight forwarder on the shipments that were subject to the Carlisle Transportation Products Agreement." *Carlstar v. UTi*, FMC No. 17-08, Order at 4 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents' Motion to Dismiss). The order further enlarged the time for UTi to file its reply to permit it to address Carlstar's response to the motion to dismiss and to Carlstar's supplemental memorandum in one reply. The order also granted leave for Carlstar to file a sur-reply limited to UTi's reply to Carlstar's response to the question regarding the tolling agreements and UTi's response to Carlstar's supplemental memorandum. *Id.* at 5.

Carlstar filed a supplemental memorandum stating that "[i]t is Carlstar's contention that UTi was operating as an NVOCC on the shipments that were subject to the Carlisle Transportation Products Agreement." (Complainants' Supplemental Memorandum in Opposition to Respondents' Motion to Dismiss at 1-2.) UTi filed a reply stating that UTi operated "exclusively" as an NVOCC

on the shipments. (Respondents' Reply to Complainants' Opposition and Supplemental Brief to Motion to Dismiss at 3.)

In a Preliminary Ruling on February 23, 2018, the undersigned stated that it did not appear that the Agreement's arbitration clause requires dismissal of the Complaint, *Carlstar v. UTi*, FMC No. 17-08, Ruling at 12-13 (ALJ Feb. 23, 2018) (Preliminary Ruling on Respondents' Motion to Dismiss), and that it appeared that the Complaint failed to state a claim of violation of section 41102(c). *Id.* at 16-19. The Preliminary Ruling invited the parties to seek reconsideration of the rulings, but neither party has sought reconsideration. The Preliminary Ruling discussed the statute of limitations issue raised by UTi and made some observations on the issue, but did not enter a ruling. The statute of limitations issue is not addressed in this Initial Decision.

The Preliminary Ruling stated that it appeared the Commission has subject matter jurisdiction over Carlstar's claims that UTi violated sections 41104(2) and 41104(4), but that additional submissions would be required before ruling on the motion to dismiss the Complaint for failure to state a claim of violation of these sections. UTi was required to respond to questions based on its assertion that it operated "exclusively" as an NVOCC and asked how its actions complied with section 41104(2) of the Act, which requires a common carrier to transport cargo pursuant to a tariff or a service contract. UTi was also asked whether it transported the cargo pursuant to an NVOCC Service Arrangement or an NVOCC Rate Agreement (NRA). In its response to the questions, UTi now states that it does not contend that it operated as an NVOCC, but that it "functioned in a manner akin to an ocean freight forwarder (albeit for inbound shipments to the United States), negotiating favorable rates for Carlstar with ocean carriers, passing through those rates and surcharges without any mark-up and providing for the arrangement of transportation services in exchange for a management fee." (Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 7.) In addition to responding to the questions, UTi seeks reconsideration of the ruling that the Commission has subject matter jurisdiction over the claims of violation of sections 41104(2) and 41104(4). Carlstar filed a response to the brief and UTi filed a reply. On April 20, 2018, the parties appeared by telephone for oral argument on the motion. An audio recording was made of the transcript and provided to counsel. The Commission has not prepared a transcript of the argument.

The motion to dismiss the claim that UTi violated sections 41104(2) and 41104(4) for lack of subject matter jurisdiction and for failure to state a claim are addressed together in this decision. Neither party sought reconsideration of the preliminary ruling that the arbitration clause in the Agreement does not deprive the Commission of jurisdiction or the preliminary ruling that the Complaint fails to state a claim for violation of section 41102(c). These preliminary rulings are incorporated into this decision.

As discussed more fully below, the Commission has subject matter jurisdiction over the Complaint and the Complaint states a claim for violation of sections 41104(2) and 41104(4). Therefore, the motion to dismiss these claims is denied.

## **II. FACTS AND PROCEDURAL HISTORY.**

### **A. Complaint.**

Except where noted, the facts are summarized from Complainants' Complaint filed with the Commission on August 31, 2017, the attachments to the Complaint, and the subsequent factual assertions of the parties that are not in dispute.

Complainant Carlstar Group LLC is a Tennessee corporation. In 2011, Carlstar was known as Carlisle Transportation Products, Inc. By 2014, complainant CTP Transportation Products LLC had been established to take Carlisle's place. On February 26, 2015, CTP Transportation Products, LLC, changed its name to Carlstar Group LLC.

Respondent UTi, United States, Inc., was an NVOCC and ocean freight forwarder licensed by the Commission (License No. 001792). I take official notice of Commission records, 46 C.F.R. § 502.226, indicating that UTi, United States, Inc., voluntarily surrendered its Commission license effective December 12, 2016. Respondent UTi, United States, LLC, is a successor-in-interest to UTi United States, Inc. UTi, United States, Inc., is alleged to be a subsidiary of respondent DSV Air & Sea, Inc., an ocean transportation intermediary that provides transport and logistics services, including warehousing, distribution, packing, and loading. I take official notice of Commission records indicating that DSV Air & Sea, Inc., is licensed by the Commission as an NVOCC and ocean freight forwarder (License No. 017331). DSV Air & Sea, Inc., is alleged to be the United States subsidiary of its parent company, DSV Air & Space Holding A/S in Copenhagen, Denmark.

The Complaint alleges that on June 1, 2011, Carlisle and UTi executed a Carlisle Transportation Products Agreement (Agreement) that obligated UTi to provide Carlisle with "world-class ocean freight negotiation and management services" including, but not limited to, "freight forwarding, brokerage, contract logistics and consulting services" as well as duties delineated in a Statement of Work attached to the Agreement. (Complaint ¶¶ 8-9 and Exhibit 1.) In return, Carlisle agreed to compensate UTi in accordance with the rates in the schedule of pricing and handling fees attached to the Agreement. The pricing schedule reflected "usual commercial terms in the service area provided" and would be reviewed on an annual basis. Where industry and commerce trends and conditions allowed for more favorable rates, UTi pledged its best efforts to modify its rate structures so that both parties could take advantage of the more favorable rates without sacrificing service. UTi agreed to notify Carlisle promptly when commercial and world conditions required increased rates and costs. (Complaint ¶¶ 10-13.) The original Agreement was in effect until June 30, 2012, and was extended by amendments through December 31, 2015. The amendments also recorded changes in Carlisle's name. (Complaint ¶¶ 14-22.)

The Agreement obligated UTi "to perform and provide such Services as may be mutually agreed to by Carlisle and UTi, including but not limited to freight forwarding, brokerage, contract logistics and consulting services" and obligated Carlisle to "use UTi exclusively for its ocean freight forwarding and NVOCC requirements in Asia Pacific, Africa, North and South America, Europe and

Australia.” (Complaint Exhibit 1 at 1.) UTi is described as “an independent contractor for all purposes.” (*Id.* at 4.)

Appendix A to the Agreement provides, *inter alia*:

- o UTi will conduct joint Carlisle UTi RFP/negotiations for each ocean contract required.

- o UTi will draft RFP requirements in accordance with Carlisle’s reasonable instructions and business rules to present to carriers at the commencement of each RFP.

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- o Carriers invited into process will be chosen jointly by Carlisle & UTi team[.] UTi assesses and recommends carriers by lanes from the RFP process and presents to Carlisle for approval

- o UTi is responsible for managing carriers.

- o UTi is responsible for signing ocean freight contracts and the subsequent (MQC) Minimum Quantity commitment fulfillment.

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- o As noted, all rates fees and charges are between UTi & Carlisle. That those rates [*sic*], fees and charges mirror the actual rates, fees and charges between UTi and each Ocean Carrier.

- o UTi agrees to provide comprehensive management and access to all rates, fees, charges that are agreed upon by Carlisle, UTi and the Ocean carriers used to transport Carlisle shipments by UTi.

(Complaint Exhibit 1 Appendix A.) To establish the rates for full container load shipments, “[t]ripartite negotiated activities will be conducted in open book sessions during the [request for quotation] with the provision that multiple carrier selections per lane will be utilized and managed within the operational context of each transactional lane.” (Complaint Exhibit 1 Appendix B.) The tripartite activities apparently included Carlisle, UTi, and a vessel-operating common carrier under consideration under the provisions of Complaint Exhibit 1 Attachment A.

In 2016, due to concerns about the rates UTi charged Carlisle for transportation services, Carlstar retained Ocean Audit, Inc., to engage in an audit of the invoices, payments, and financial records reflecting payments by Carlisle to UTi during the period from 2011 through 2016. The audit allegedly revealed significant discrepancies between the amount UTi billed Carlisle versus the amount UTi should have billed Carlisle under the Agreements. Carlstar alleges that UTi overcharged by at least \$805,825.56 for the period from 2011 through 2016. Carlstar contends that prior to the audit, it was not aware of the overcharges. UTi allegedly imposed the charges by multiple billing for shipments, improperly charging bill of lading fees on a per container basis rather than on a per shipment basis, ocean freight billing errors, and bunker fuel charge invoice errors. As a result of the alleged overcharges uncovered by Ocean Audit, Carlstar conducted an internal audit

of the pass-through and miscellaneous charges paid by Carlisle to UTi from January 2014 through April 2016 and found additional alleged overcharges.

As specific acts in violation of the Shipping Act committed by UTi, Carlstar alleges:

24. This Ocean Audit . . . revealed significant discrepancies between the amount UTi billed Carlstar under the Agreements versus the amount UTi should have billed Carlstar.

25. Prior to the Ocean Audit, Carlstar was not aware of UTi's overcharges alleged in this Complaint.

26. The amount Carlstar was overcharged, and the amount it overpaid, for UTi shipments was at least \$805,825.56 for the period from 2011 through 2016. *See* Exhibits 5-12.

27. The Ocean Audit analysis suggests that \$151,925.63 is due for duplicate pay and hybrid claims. *See* Exhibits 5-9. More specifically, the following five (5) shipments were double-billed, triple-billed, or incorrectly billed:

a. Invoice Nos. CLT338574300 and CLT338574302 show double billing, as the same Shipment No. 5861142431 is listed on these two (2) invoices, resulting in an overcharge of \$39,384.51. *See* Exhibit 5.

b. Invoice No. 29000103373 shows double billing as Shipment No. 5861206526 only had two (2) containers, but Carlstar was billed for four (4) containers, resulting in an overcharge of \$7,120.00. *See* Exhibit 6.

c. Invoice No. 29000799420-1 shows that UTi overcharged Carlstar by \$19,209.00, as it contains incorrect BAF billing on Shipment No. 114109940. *See* Exhibit 7.

d. Invoice No. 29000070632 shows that UTi overcharged Carlstar \$63,694.12 as: (1) Shipment No. 5861211869 only had four (4) containers, but Carlstar was billed for eight (8) containers; (2) Shipment No. 5861211869 contains an incorrect freight billing amount on Shipment No. 5861211869 [*sic*]; and (3) Shipment No. 5861211869 was billed twice. *See* Exhibit 8.

e. Invoice Nos. 29000262702-1, 29000262702-2 and 29000262702-4 reflect an over-payment by Carlstar of \$22,518.00 related to Shipment No. 103906865. *See* Exhibit 9.

28. The Ocean Audit analysis suggests that UTi improperly charged Carlstar bill of lading fees on a per container basis, rather than on a per shipment basis, for 548 shipments invoiced between February 2014 and February 2016, resulting in \$132,519.00 of bill of lading fee overcharges. *See* Exhibit 10.

29. The Ocean Audit analysis suggests that \$385,730.93 is due for ocean freight billing errors. *See* Exhibit 11.

30. The Ocean Audit analysis suggests that \$135,650.00 is due for bunker fuel charge invoice errors. *See* Exhibit 12.

31. As a result of the overcharges uncovered by Ocean Audit, Carlstar conducted an internal audit of the pass-through and miscellaneous charges paid by Carlstar to UTi from January 2014 through April 2016. Carlstar has not identified any back-up documentation provided by UTi evidencing that \$4,349,344.50 of these alleged charges were actually incurred by UTi, thereby constituting overcharges, and UTi has failed to provide the documentation to Carlstar as requested. *See* Exhibit 13.

(Complaint (emphasis deleted).)

Carlstar contends that UTi violated section 41102(c) of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; section 41104(2) by charging rates greater than the published tariff and/or the Agreement; and section 41104(4) by charging unfair and potentially discriminatory fees. 46 U.S.C. §§ 41102(c), 41104(2), and 41104(4).

Beginning January 13, 2017, UTi, United States, Inc. and Carlstar Group LLC entered into a series of agreements tolling the running of time under any applicable statute of limitations, laches, or other defense of similar import the parties may have against each other. The last tolling agreement expired August 31, 2017, the date the Secretary received Carlstar's Complaint.

## **B. UTi's Motion to Dismiss.**

### **1. Uti's Argument.**

UTi filed a motion to dismiss arguing that the Commission does not have jurisdiction over the Complaint and that the Complaint fails to state a claim of violation of the Shipping Act. UTi also contends that the Agreement, which requires arbitration of any disputes the parties are unable to resolve themselves, (Complaint Exhibit 1 ¶ 19.h), mandates dismissal of the Commission Complaint. UTi further contends that if the Commission does have jurisdiction over the Complaint, the Act's statute of limitations provision precludes a reparation award for any damages that Carlstar suffered on shipments more than three years before Carlstar filed its Complaint.

### **2. Carlstar's Response.**

Carlstar filed a response to the motion to dismiss. Carlstar disputes the arguments that UTi contends justify dismissal of the Complaint.

### **3. Order to Supplement.**

UTi moved for an enlargement of time to file its reply to Carlstar's response. In the order granting the motion, UTi was instructed "to include in their reply a discussion of the effect of the tolling agreements described in paragraphs 32-34 of the Complaint on Respondents' statute of limitations argument." *Carlstar v. UTi*, FMC No. 17-08 (ALJ Dec. 29, 2017) (Order Enlarging Time to File Reply Memorandum).

As noted above, UTi was licensed by the Commission as both an NVOCC and as an ocean freight forwarder. It was not clear from Carlstar's Complaint, the Carlisle Transportation Products Agreement, or Carlstar's opposition to UTi's motion to dismiss whether Carlstar contends UTi was operating as an NVOCC or an ocean freight forwarder on the shipments that were subject to the Carlisle Transportation Products Agreement. Therefore, Carlstar was ordered *sua sponte* to supplement its response to the motion to dismiss with a brief setting forth its contentions regarding the operational status of UTi on the shipments that were subject to the Agreement. Carlstar was also directed to state whether UTi issued its own bills of lading on the Carlisle shipments and whether vessel-operating common carriers or other NVOCCs issued bills of lading identifying UTi as the shipper on the Carlisle shipments. *Carlstar v. UTi*, FMC No. 17-08, Order at 5 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents' Motion to Dismiss).

### **4. Carlstar's Supplemental Memorandum.**

In its supplemental response, Carlstar states that "[i]t is Carlstar's contention that UTi was operating as an NVOCC on the shipments that were subject to the Carlisle Transportation Products Agreement." (Complainants' Supplemental Memorandum in Opposition to Respondents' Motion to Dismiss at 1-2.) Carlstar states that UTi issued its own bills of lading on the Carlisle shipments and that the vessel-operating common carriers issued bills of lading identifying UTi as the shipper on the Carlisle shipments. (Complainants' Supplemental Memorandum in Opposition to Respondents' Motion to Dismiss at 2.) Carlstar attached representative documentation to support these statements.

### **5. UTi's Reply.**

UTi filed a reply to Carlstar's arguments in response to UTi's motion. In response to the order instructing it to address the effect of the tolling agreements, UTi modifies its argument on the statute of limitations to contend that claims that arose more than three years before December 20, 2016, apparently the date on which the parties agreed to the tolling, are barred by the statute of limitations. In response to Carlstar's supplemental brief, UTi states that UTi operated "exclusively" as an NVOCC on the shipments. (Respondents' Reply to Complainants' Opposition and Supplemental Brief to Motion to Dismiss at 3.) UTi does not contest the documentation attached to Carlstar's supplemental response demonstrating that UTi and vessel-operating common carriers issued bills of lading for the shipments.

## 6. Carlstar's Sur-Reply.

The order granted leave for Carlstar to file a sur-reply “**limited solely to the issue of the operative date for the statute of limitations and to respondents’ reply to complainants’ supplemental brief.**” *Carlstar v. UTi*, FMC No. 17-08, Order at 5 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents’ Motion to Dismiss) (emphasis in original). Carlstar did not limit its sur-reply solely to the issue of the operative date for the statute of limitations and to UTi’s reply to Carlstar’s supplemental brief, but reargued positions argued in Carlstar’s response to the motion to dismiss. The portions of Carlstar’s sur-reply not addressing the operative date for the statute of limitations or UTi’s reply to Carlstar’s supplemental brief were stricken. *Carlstar v. UTi*, FMC No. 17-08 (ALJ Feb. 23, 2018) (Order Striking Complainants’ Sur-Reply).

### C. Preliminary Ruling on Respondents’ Motion to Dismiss.

Based on the filings of the parties, the undersigned determined that UTi’s motion “is ripe for decision on some of the issues raised by the motion. One issue requires additional information and briefing.” *Carlstar v. UTi*, FMC No. 17-08, Order at 2 (ALJ Feb. 23, 2018) (Preliminary Ruling on Respondents’ Motion to Dismiss). It appeared that the arbitration clause of the Agreement did not require the Commission to dismiss the Complaint (*id.* at 12-13), that the Commission has subject matter jurisdiction over the Complaint (*id.* at 14-16), and that the Complaint fails to state a claim of violation of 46 U.S.C. § 41102(c) (*id.* at 16-19). The parties were invited to request reconsideration of the preliminary rulings. “A request for reconsideration should identify a substantive error in material fact contained in the preliminary ruling.” *Id.* at 2. Although some observations were made about the statute of limitations issue, no preliminary ruling was made. *Id.* at 19-23.

Section 41104(2)(A) of the Shipping Act states that a common carrier may not provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a published tariff or a service contract. 46 U.S.C. § 41104(2)(A). Section 41104(4)(A) governs common carrier “service pursuant to a tariff.” 46 U.S.C. § 41104(4)(A). These sections are applicable to an entity operating as an NVOCC, but not to an entity operating as an ocean freight forwarder.

The Preliminary Ruling noted that Carlstar was ordered to supplement the record because “[i]t was not clear from Carlstar’s Complaint, the Carlisle Transportation Products Agreement, or Carlstar’s opposition to UTi’s motion to dismiss whether Carlstar contends UTi was operating as an NVOCC or an ocean freight forwarder on the shipments that were subject to the Carlisle Transportation Products Agreement.” *Id.* at 7. Carlstar responded to the order to supplement by stating “[i]t is Carlstar’s contention that UTi was operating as an NVOCC on the shipments that were subject to the Carlisle Transportation Products Agreement.” *Id.* at 8. In its reply, UTi stated that “[o]ver the course of its existence, UTi operated exclusively as a non-vessel-operating common carrier (‘NVOCC’).” (Respondents’ Reply to Complainants’ Opposition and Supplemental Brief to Motion to Dismiss at 4.) The Preliminary Ruling observed:

The rates that UTi charged Carlisle for providing its services do not appear to be in accordance with a tariff, but the rates determined by the Agreement. UTi contends that the Agreement is not a service contract as defined by the Act, however. (Respondents' Reply to Complainants' Opposition and Supplemental Brief to Motion to Dismiss at 3-4.) If the service was not provided in accordance with a published tariff or a service contract, UTi's compliance (or non-compliance) with sections 41104(2)(A) and 41104(4)(A) is implicated.

*Carlstar v. UTi*, FMC No. 17-08, Order at 26 (ALJ Feb. 23, 2018) (Preliminary Ruling on Respondents' Motion to Dismiss). The Preliminary Ruling noted that the Commission had exempted NVOCCs from certain provisions of the Act when it transported cargo pursuant to an NVOCC Service Arrangements (NSA) or an NVOCC Negotiated Rate Arrangement (NRA). Therefore, UTi was ordered to supplement the record by answering four questions: Whether it transported cargo for Carlisle pursuant to (1) a tariff, (2) a service contract, (3) an NSA, or (4) an NRA. It was also ordered to describe the authority pursuant to which it transported cargo under the Agreement. *Id.* at 27-28.

**D. Supplemental Briefing on Motion to Dismiss.**

**1. UTi's Response to the Order to Supplement the Record.**

UTi does not seek reconsideration of the preliminary ruling on the arbitration clause. UTi seeks reconsideration of the preliminary ruling on subject matter jurisdiction, confirming that it is making a facial challenge to subject matter jurisdiction. (Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 3-6.)

UTi answered "No" to the four questions whether it transported the cargo pursuant to a tariff, pursuant to a service contract, pursuant to an NSA, or pursuant to an NRA. In response to the question how its activities complied with section 41104(2)(A) of the Shipping Act, UTi now states (contrary to its earlier assertion that it operated exclusively as an NVOCC) that on the Carlisle shipments, it "essentially function[ed] as an ocean freight forwarder" and "the essential character of UTi's services for [Carlisle] were those of an ocean freight forwarder, the respective obligations of the Parties were governed by parameters and conditions set forth in the Carlisle Transportation Products Agreement." (Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 8.)

**2. Carlstar's Response to UTi's Response to the Order to Supplement the Record.**

Carlstar states that it agrees with the preliminary ruling on arbitration and that it does not contest the preliminary ruling that the section 41102(c) claim should be dismissed. Other than stating that the tolling agreement tolled the running of time under any applicable statute of

limitations, laches, or other defense of similar import running from December 20, 2016, through August 31, 2017, Carlstar does not address the statute of limitations. (*Id.* at 3 n.2.)

Carlstar notes UTi's reversal of course in its new contention that it was not acting as an NVOCC on the Carlisle shipments and contends that "UTi's claim that it was not aware that it was operating as an NVOCC is both incredible and belied by the record." (Complainants' Response to Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 4.) Carlstar contends that UTi operated as an NVOCC on the shipments and that UTi's contention that it did not "is also a 'factual assertion[] not based on documents already in the record' that UTi has not 'supported by affidavit and/or other competent evidence,' as directed by Your Honor's Preliminary Ruling. (*See* Preliminary Ruling at \*28.)" (*Id.* at 4 n.3.) Carlstar claims that UTi has not provided it with documentation that the Shipping Act requires UTi to keep. Carlstar argues that the Commission has subject matter jurisdiction over its section 41104 claims, contending that the Agreement is properly characterized as an NSA. (*Id.* at 6.)

### **3. UTi's Reply.**

In its Reply, UTi states that "UTi did not function as a non-vessel operating common carrier . . . while providing services to Carlstar. Rather, throughout the duration of the arrangement, UTi passed through actual rates, fees and charges." (Respondents' Reply to Complainants' March 23, 2018 Response to Respondents' Supplemental Memorandum at 2.) UTi denies withholding information from Carlstar. (*Id.* at 4-5.)

## **III. STATUTORY FRAMEWORK.**

Carlstar filed its Complaint pursuant to section 41301 of the Shipping Act. "A person may file with the . . . Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation." 46 U.S.C. § 41301(a).

The Act establishes two kinds of ocean transportation intermediaries. "The term 'ocean transportation intermediary' means an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(19). "The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(16).

The term "common carrier" – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The term “ocean freight forwarder” means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(18). UTi was licensed by the Commission as an NVOCC and as an ocean freight forwarder within the meaning of the Act.

The Act sets forth requirements and prohibitions on NVOCCs and ocean freight forwarders. The Complaint alleges that UTi violated sections 41102(c), 41104(2), and 41104(4) of the Act.

Section 41102(c) of the Act provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Section 41104 governs operations by common carriers, including NVOCCs.

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not – . . . (2) provide service in the liner trade that is – (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title or (B) under a tariff or service contract that has been suspended or prohibited by the . . . Commission under chapter 407 or 423 of this title; . . . (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of – (A) rates or charges; (B) cargo classifications; (C) cargo space accommodations or other facilities, with due regard being given to the proper loading of the vessel and the available tonnage; (D) loading and landing of freight; or (E) adjustment and settlement of claims.

46 U.S.C. § 41104.<sup>2</sup>

The Shipping Act grants the Commission the power to exempt agreements from requirements of the Act.

The . . . Commission, on application or its own motion, may by order or regulation exempt for the future any class of agreements between persons subject to this part or

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<sup>2</sup> The Complaint cites section 41104(2) and 41104(4), but does not appear to claim violations of sections 41104(2)(B) or 41104(4)(B) through 41104(4)(E).

any specified activity of those persons from any requirement of this part if the Commission finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce. The Commission may attach conditions to an exemption and may, by order, revoke an exemption.

46 U.S.C. § 40103(a). Pursuant to this authority, NVOCCs are exempt from some provisions of the Shipping Act when using an NVOCC Service Arrangement (NSA) or an NVOCC Negotiated Rate Arrangement (NRA). *Non-Vessel-Operating Common Carrier Service Arrangements*, 69 Fed. Reg. 75850, 75853 (Dec. 20, 2004), codified at 46 C.F.R. Part 531; *Non-Vessel-Operating Common Carrier Negotiated Rate Arrangements*, 76 Fed. Reg. 11351, 11360 (Mar. 2, 2011), codified at 46 C.F.R. Part 532.

The Complaint alleges that Carlstar was injured by UTi's alleged violations of the Act and seeks a reparation award for the injuries. The Act defines actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part, plus reasonable attorney fees.

46 U.S.C. § 41305. “In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.” 46 U.S.C. § 41305(e).

#### **IV. THE COMMISSION RULES OF PRACTICE AND PROCEDURE PERMIT CONSIDERATION OF A MOTION TO DISMISS.**

The Commission's Rules of Practice and Procedure (Rules), 46 C.F.R. Part 502, do not explicitly provide for a motion to dismiss for lack of subject matter jurisdiction or a motion to dismiss for failure to state a claim.

Rule 12 of the Commission's Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. *See, e.g., The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431 (F.M.C.).

Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise by motion failure to state a claim. With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges “the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered.” . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. As it does when considering a Rule 12(b)(6) motion to dismiss for failure to state a claim, the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged . . . in the complaint as true.

*Sinaltrainal v. Coca-Cola Company*, 578 F.3d 1252, 1260 (11th Cir. 2009).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 677] (2009). The complaint must be sufficient to “give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

*Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC No. 09-01, Order at 19-20 (FMC Aug. 1, 2011) (Order Denying Appeal, etc.).

The first step is typically to identify pleadings that are not entitled to the assumption of truth because they are legal conclusions. These conclusions can provide a framework, but they must be supported by factual allegations. The next step is to assume the truth of the well-pleaded factual allegations and determine “whether they plausibly give rise to an entitlement to relief.”

The factual allegations needed to reach plausibility will vary depending on the complexity of the case, “both to give the opposing party notice of what the case is all about and to show how, in the plaintiff’s mind, the dots should be connected.” “Determining whether a complaint states a plausible claim for relief will . . . be a

context-specific task that requires the reviewing court to draw on its judicial experience and common sense.”

*Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 58 (FMC 2015).

## DISCUSSION

### V. THE ARBITRATION CLAUSE DOES NOT REQUIRE DISMISSAL OF THE COMMISSION PROCEEDING.<sup>3</sup>

#### A. UTi's Argument.

UTi contends that the arbitration clause in the Agreement requires Carlstar to arbitrate its claims; therefore, the Commission should dismiss this proceeding.

A separate and independent reason to dismiss the Verified Complaint is that the Parties' agreement contains a binding, mandatory arbitration clause, pursuant to which Carlstar must arbitrate its claims. The Agreement between the Parties clearly states that “[a]ny controversy which shall arise between CTP and UTi regarding the rights, duties, or liabilities of either party hereunder . . . shall be settled by binding arbitration in New York, New York in accordance with the Arbitration Act and pursuant to the rules of the American Arbitration Association.” Compl. Ex. 1, page 7.

It is well established that the Federal Arbitration Act embodies the liberal federal policy in favor of arbitration, and the United States Supreme Court has held that any doubts concerning the scope of arbitrable issues should be resolved in favor of arbitration. *See Moses H. Cone Memorial Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 24–25 (1983); *McDonnell Douglas Fin. Corp. v. Pennsylvania Power & Light Co.*, 858 F.2d 825, 832 (2d Cir. 1988). The Federal Maritime Commission therefore routinely requires parties to submit to arbitration when an approved contract has a mandatory arbitration provision. *See Ivarans I*, 895 F.2d at 1446 (citing *Firestone Int'l Co. v. Far E. Conference*, 9 F.M.C. 119, 128 (1965)).

Carlstar expressly alleges that these charges by UTi breached the agreement, *see* Compl. ¶¶ 8-24. Therefore, Carlstar's claims must be arbitrated pursuant to that

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<sup>3</sup> The preliminary ruling found that the arbitration clause does not require dismissal of the Complaint. UTi did not seek reconsideration of this ruling. Carlstar agrees with the preliminary ruling. (Complainants' Response to Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 2.)

agreement's arbitration provision, and the Commission should dismiss this proceeding.

(Motion to Dismiss at 10.)

## **B. Final Ruling.**

Commission precedent establishes that an arbitration provision does not deprive the Commission of its authority to determine whether a respondent committed Shipping Act violations. Anchor Shipping Co. (Anchor), an NVOCC licensed by the Commission, and Aliança Navegação E Logística Ltda. (Aliança), a vessel-operating common carrier, were parties to a service contract that included an arbitration clause. Before commencing its Commission proceeding, Anchor initiated arbitration against Aliança as required by the terms of the service contract. An arbitrator from the Society of Maritime Arbitrators issued a decision addressing issues under the service contract and issues under the Shipping Act. The arbitrator found in Anchor's favor, deducted an amount for freight charges and interest she found that Anchor owed Aliança, and awarded Anchor a net of \$381,880.59 in damages, interest, legal expenses, and "Allowance for Party costs leading to the interim Award." (Arbitration between Anchor and Aliança Under Service Contract EC99-0511, Decision and Final Award at 57 (July 31, 2001)). Aliança paid the \$381,880.59 awarded by the arbitrator. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC No. 02-04, Memorandum at 3 (ALJ Sept. 27, 2007) (Memorandum and Order on Respondents' Partial Motion to Dismiss and/or for Summary Judgment) (summarizing proceeding).

Anchor then filed a complaint with the Commission alleging Shipping Act violations and sought \$1 million as a reparation award. The Administrative Law Judge dismissed the complaint based on the arbitration award. The Commission vacated the dismissal and remanded for further proceedings. The Commission held that the fact the service contract between the parties required arbitration:

does not outweigh the Commission's duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

*Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006). The Commission stated that "[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any dispute previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties." *Id.*, at 999-1000. Accordingly, even if Carlstar had successfully pursued arbitration prior to filing the Complaint and been awarded damages, the Commission would still need to "address . . . those allegations [in Carlstar's Complaint] involving Shipping Act violations."

Therefore, UTi's motion to dismiss because of the arbitration clause is denied.

**VI. THE COMPLAINT FAILS TO STATE A CLAIM OF VIOLATION OF 46 U.S.C. § 41102(c).<sup>4</sup>**

**A. The Parties' Arguments.**

UTi argues:

Complainants' claim of a violation of 46 U.S.C. § 41102(c) must be dismissed, because Complainants [fail] to allege with any level of factual detail that UTi has failed to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." It is well established that Section 10(d)(1) of the Shipping Act, as amended, 46 U.S.C. § 41102(c), relates not to alleged overcharges and billing issues that arise after the shipment has been completed, but to unreasonable practices connected with the handling, storage or delivery of freight and property when it is in the custody of the NVOCC. *See Petra Pet, Inc. v. Panda Logistics Ltd, Panda Logistics Co., Ltd and RDM Solutions*, 33 S.R.R. 4 (F.M.C. 2013) (finding that an NVOCC's withholding and aborting of a shipment to coerce payment of a debt for other shipments was an unreasonable practice and violated section 10(d)(1), and that the failure of an NVOCC to remit freight payments and to communicate with or provide the status of the shipment to the shipper was a Section 10(d)(1) violation); *William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) & World Line Shipping, Inc.*, 29 S.R.R. 6 (F.M.C. 2001) (NVOCC held to have violated Section 10(d)(1) when it refused to release the cargo at the destination port unless additional money was paid, and instructed its agent to place the shipment on hold); *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (ALJ 1993) (NVOCC's failure to carry out its obligation to transport the cargo or to return the money despite repeated demands was held a violation of section 10(d)(1) as it showed "a failure to establish, observe and enforce just and reasonable regulations and practices"); *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 18-19 (ALJ 1991) (finding that ocean freight forwarder's failure to pay ocean freight in a timely manner is a section 10(d)(1) violation); *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11 (ALJ 1991) (NVOCC failed to establish, observe, and enforce just and reasonable regulations and practices in violation of section 10(d)(1) when the NVOCC unreasonably aborted a shipment, notwithstanding the fact that it had issued an

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<sup>4</sup> The preliminary ruling found that the Complaint fails to state a claim of violation of section 41102(c). Neither party seeks reconsideration of this ruling. (Complainants' Response to Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 2; Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 6 n.1.)

onboard bill of lading, thereby allowing a misleading shipping document to go forward in the shipping process).

None of Complainants' claims allege any mishandling of cargo or any failure by UTi to appropriately transport or deliver its cargo as instructed. Instead, Complainants' claims relate to shipping rates and billing practices, about which Carlstar, very belatedly, developed "concerns." Aside from a formulaic recitation of the statutory provision, Complainants have failed to provide any factual basis to allege a violation of § 41102(c). Therefore, this claim must be dismissed.

(Motion to Dismiss at 11-12.)

Carlstar did not respond to UTi's argument on section 41102(c) in its response to the motion. (Carlstar Response at 5-6.) "[A party's] failure to brief and argue [an] issue is grounds for finding that the issue has been abandoned." *Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d 1301, 1326 (11th Cir. 2000). See *MAVL Capital Inc., IAM AL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper*, FMC No. 16-16, Decision at 8 (ALJ Sept. 15, 2016) (Initial Decision Partially Dismissing Complaint) (dismissing claims not addressed in response to show cause order), exceptions filed Feb. 8, 2017.

The Preliminary Ruling found that the Complaint did not state a plausible claim of violation of section 41102(c). *Carlstar v. UTi*, FMC No. 17-08, Order at 17-19 (ALJ Feb. 23, 2018) (Preliminary Ruling on Respondents' Motion to Dismiss). Neither UTi (Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 6 n.1) nor Carlstar (Complainants' Response to Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 2) seeks reconsideration of the Preliminary Ruling.

## **B. Final Ruling.**

Addressing the section 41102(c) allegation in Carlstar's Complaint, the Commission recently had occasion to identify cases in which an NVOCC had been found to violate section 41102(c), enacted as section 10(d)(1) of the Shipping Act of 1984 and often referred to by that term.

[T]he Commission has indeed recognized that NVOCCs violate section 10(d)(1) when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore engage in an unjust and unreasonable practice. See *Yakov Kobel, et al. v. Hapag-Lloyd A.G., et al.*, [32 S.R.R. 1720, 1730-1731] (FMC July 12, 2013) (Order Vacating Initial Decision in Part and Remanding for Further Proceedings); *Houben v. World Moving Services, Inc.*, 31 S.R.R. 1400, 1405 (FMC 2010)] (NVOCC failed to make payments "necessary to secure release of cargo" and failed to resolve a commercial dispute); *William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, 29 S.R.R. 6 at 6 (FMC 2001) (NVOCC

held to have violated section 10(d)(1) with respect to a single shipment when it refused to release the cargo at destination port unless additional money was paid, and instructed its agent to place the shipment on hold.); *Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788 (ALJ 1992) (freight forwarder held to have violated section 10(d)(1) by failing to establish, observe and enforce just and reasonable practices with respect to two shipments when the freight forwarder prepared incorrect booking notes and dock receipts, and issued an altered bill of lading containing false information.); [*Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871, 873 (ALJ 1993)] (NVOCC failed to carry out obligation it was paid to perform, thus failing to “establish, observe, and enforce just and reasonable regulations and practices relating to the receiving, etc. of property . . . .”); *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 19-20 (ALJ 1991)] (NVOCC reneged on agreement and refused to refund freight even though it “never performed the transportation service”); *Maritime Corporation v. Acme Fast Freight of Puerto Rico*, 17 S.R.R. 1655, 1662 (ALJ 1978), *aff’d*, 18 S.R.R. 853 (FMC 1978) (section 10(d)(1) violation found because of NVOCC’s failure to “pay applicable demurrage charges,” subjecting “property of the shipping public to vessel-operating common carrier’s liens”); *Corpeco Int’l, Inc., v. Straightway, Inc.*, 28 S.R.R. 296, 300 (1998) (forcing shipper to pay transshipment costs for the release of cargo after shipper had already paid a rate previously agreed was an unreasonable business practice); *Total Fitness Equipment, Inc. d/b/a, Professional Gym v. Worldlink Logistics, Inc.*, 28 S.R.R. 534, 542 (FMC 1998), *aff’d*, *Worldlink Logistics, Inc. v. Federal Maritime Comm’n*, 203 F.3d 54 (D.C. Cir. 1999) (attempting to collect an unreasonable debt by refusing the release of cargo was a violation of the Act). In the preceding cases, failures to act, similar to the failure of Chief Cargo to require original bills of lading prior to releasing cargo, were found to constitute violations of section 10(d)(1).

*Bimsha International v. Chief Cargo Services, Inc.*, FMC No. 10-08, Memorandum at 11-12 (FMC Sept. 4, 2013), *aff’d sub nom. Chief Cargo Services, Inc. v. FMC*, 586 Fed. Appx. 730 (2d Cir. 2014). *Bimsha* itself involved a carrier that released cargo to the consignee without requiring original bills of lading when the consignee had not paid the seller/shipper for the cargo that was released.

While the Commission did not suggest and the undersigned does not suggest that this is an exhaustive list of possible violations of section 41102(c), the proceedings cited in *Bimsha* have one thing in common: The respondent did something or failed to do something that interfered with the receiving, handling, storage, or delivery of cargo. Carlstar does not allege that UTi’s actions were related to the receiving, handling, storage, or delivery of cargo. For example, Carlstar does not allege that UTi failed to make payments necessary to secure release of cargo (*Houben*); refused to release cargo at destination port unless additional money was paid (*William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*); improperly prepared shipping documents causing a delay in the shipment and altering bills of lading to misrepresent the date shipments were loaded on board the ship (*Tractors and Farm Equipment Limited v. Cosmos*

*Shipping Co., Inc.*); took Carlstar's money, then failed to carry out its obligation to pay for the shipment and arrange to carry it to destination (*Symington v. Euro Car Transport*); reneged on the shipping agreement and refused to refund freight even though it never performed the transportation service (*Adair*); failed to pay applicable demurrage charges, subjecting Carlstar's property to vessel-operating common carrier liens (*Maritime Corporation v. Acme Fast Freight*); forced Carlstar to pay transshipment costs for the release of cargo after Carlstar had already paid a rate previously agreed (*Corpco v. Straightway*); or attempted to collect an unreasonable debt from Carlstar by refusing the release of cargo (*Total Fitness Equipment*).

The factual allegations in Carlstar's Complaint relate to conduct that occurred after completion of the transportation: "[D]iscrepancies between the amount UTi billed Carlstar under the Agreements versus the amount UTi should have billed Carlstar [for the transportation]." (Complaint ¶ 23. *See also* Complaint ¶¶ 23-33.) Carlstar does not allege that any problem occurred with the receiving, handling, storage, or delivery of any shipment transported pursuant to the Agreement that would plausibly state a claim of violation of section 41102(c). Therefore, the motion to dismiss the section 41102(c) claim is granted.

## **VII. THE MOTION TO DISMISS THE 46 U.S.C. §§ 41104(2) AND 41104(4) CLAIMS IS DENIED.**

### **A. The Parties' Arguments.**

In the section of its motion seeking dismissal for lack of subject matter jurisdiction, UTi contends that Carlstar's claims are based on alleged violations of the Carlisle Transportation Products Agreement, not on alleged violations of the Shipping Act.

Complainants' claims are based on UTi's alleged breach of the Parties' agreement, including subsequent amendments, between Carlstar and UTi. Complainants assert a total claim of \$5,155,170.06, plus interest, costs, and attorneys' fees, against Respondents. Of the total amount of the claim, \$521,380.93 of the claim arises out of so-called "overcharges" based upon an audit from a dubious and disreputable source, which allegedly calculated the correct rate that UTi should have charged Carlstar "under the Agreements" by relying on an unknown methodology. *See* Compl. ¶¶ 24-30 & Exs. 11 and 12. The majority of the claim, for \$4,349,344.50, is based upon UTi's alleged failure to provide back-up documentation evidencing that these charges were actually incurred by UTi. *See id.* ¶ 31 & Ex. 13. Further, \$132,519.00 of the claim is based upon the Parties' dispute of a commercial term of service between Carlstar and UTi, mainly whether UTi should have charged Carlstar bill of lading fees on a per container or per shipment basis. *See id.* ¶ 28 & Ex. 10. And lastly, \$151,925.63 of the claim is based upon alleged double, triple or otherwise incorrect invoicing or billing issues. *See id.* ¶ 27 & Exs. 5-9.

It is apparent that the allegations asserted by Complainants set forth pure breach of contract claims and commercial claims for alleged failures to charge what was agreed upon per the agreement between the Parties, alleged failures to substantiate charges with back-up documentation, and allegedly incorrect billing and improper calculation of a documentation fee. Even if true, these allegations would not involve any violation of the Shipping Act. Complainants' claims regarding alleged overcharges allege a breach of the agreement between the Parties, *see id.* ¶ 24 – which called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier, *see id.*, Ex. 2, App. A – and not for violation of any tariff or a FMC compliant instrument. *See id.*, Exs. 11-12 (setting forth an explanation of alleged ocean freight and bunker adjustment fuel overcharges based on an unexplained calculation of the “correct rate” conjured up by Ocean Audit, Inc. and not based on analysis of any FMC-compliant rate vehicle). Moreover, Carlstar has in no way described how an alleged failure to substantiate charges with back-up documentation or an alleged failure to calculate correctly a documentation fee would constitute an overcharge in violation of any published tariff, *see the Shipping Act*, as amended, § 41104(2), or an application of unfair or discriminatory practices in the matter of rates and charges for service provided pursuant to a tariff, *see id.* § 41104(4).

The Commission has statutory responsibility to ensure that parties implement agreements as approved by and filed with the Commission. *See IA/S Ivarans Rederi v. United States (Ivarans I)*, 895 F.2d 1441, 1446 (D.C. Cir. 1990); *Duke Power Co. v. FERC*, 864 F.2d 823, 829 (D.C. Cir. 1989); *Swift & Co. v. FMC*, 306 F.2d 277, 282 (D.C. Cir. 1962). That authority, however, does not extend to agreements that are not filed with the FMC, nor to claims that amount to mere breach of contract claims with no elements particular to the Shipping Act. *See [Cargo One, Inc. v. COSCO Container Lines Co., Ltd.]*, 28 S.R.R. 1635, 1645 (FMC 2000)].

(Motion to Dismiss at 8-9.)

In the portion of its motion contending the Complaint fails to state claims of violation of sections 41104(2) and 41104(4), UTi contends:

Complainants' claim of a violation of 46 U.S.C. § 41104(2) must . . . be dismissed, because Complainants allege no factual basis whatsoever to support a violation of the provision. Among other things, § 41104(2) prohibits a common carrier, either alone or in conjunction with any other person, directly or indirectly, from providing service in a liner trade that is not in accordance with rates, charges, classifications, rules, and practices contained in a valid and published tariff. Complainants allege that UTi violated § 41104(2) “by charging rates greater than the published tariff and/or the Agreements.” Compl. ¶ 37. Beyond this naked assertion, Complainants provide no details whatsoever in the Verified Complaint that UTi provided services not in

accordance with the rates contained in any tariff. Indeed, Complainants even fail to discuss the application or relevancy in any way of UTi's potential tariff.

It is apparent that Complainants have not alleged a violation of § 41104(2) in any way. At best, as shown above, Complainants allege straightforward breach of contract claims for alleged failures to charge what was agreed upon per the agreement, bill correctly, substantiate charges, and calculate a documentation fee properly. Because Complainants fail to provide any factual basis to allege a violation of § 41104(2), this claim must be dismissed.

Complainants' claim of discriminatory pricing under 46 U.S.C. § 41104(4) must also be dismissed, because Complainants allege no factual basis whatsoever to support the bald assertion that UTi charged Carlstar "unfair and potentially discriminatory fees." Compl. ¶ 38.

Not only does the Verified Complaint fail to provide a single detail regarding the nature of these alleged "unfair and potentially discriminatory fees," but Complainants even fail to recite accurately what 46 U.S.C. § 41104(4) prohibits. In brief, § 41104(4) prohibits a carrier, directly or indirectly, to engage in any unfair or unjustly discriminatory practices in the matter of rates and charges, among other things, for service provided pursuant to a tariff. Among other things, Complainants allege no facts suggesting that UTi provided services to Carlstar pursuant to a tariff, nor do Complainants allege how UTi engaged in any unfair or unjustly discriminatory practice. Interpreted generously, this claim is at best a textbook example of a "formulaic recitation of the elements of [the] cause of action," which the Supreme Court made clear is *not* sufficient to state a plausible cause of action under Rule 12(b)(6). *Iqbal*, 556 U.S. at 678. As a result, this claim must be dismissed.

(Motion to Dismiss at 12-14 (subpart caption omitted).)

Carlstar responds:

UTi contends that the five-year shipping relationship between Carlstar, a shipper, and UTi, [an NVOCC] licensed by the Commission during the relevant time period, . . . falls outside the scope of the Shipping Act, and, consequently, outside the subject matter jurisdiction of the . . . Commission. UTi attempted to assert an identical argument in its motion to dismiss in *Streak Products, Inc. v. UTi, United States, Inc.*, in 2013. See *Streak Products, Inc. v. UTi, United States, Inc.*, FMC No. 13-04, Order ([ALJ]<sup>5</sup> Oct. 23, 2013) (Order Denying Motion to Dismiss). The Commission

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<sup>5</sup> *Streak Products* was before a Commission Administrative Law Judge on a motion to dismiss. The quoted language is from the Judge's order, not a decision of the Commission on review of a judge's decision.

rejected UTi's argument in the *Streak Products* case in 2013, and should do the same now in this matter.

Indeed, UTi once again seeks refuge in a regulatory quagmire of its own making. UTi's Motion admits that the Agreements between UTi and Carlstar "called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier." (Mot. at 9.) Carlstar's claim under 46 U.S.C. § 41104(2) includes an allegation that UTi violated the Act by charging rates greater than those permitted by the Agreements, which Carlstar contends should be considered a "service contract" under 46 U.S.C. § 41104(2)(A). UTi contends that Carlstar cannot maintain claims under the Act to remedy UTi's apparent overcharging scheme because UTi inexplicably failed to file the Agreements with the Commission, as UTi was required to do pursuant to 46 U.S.C. § 40502(b)(1). (Mot. at 9.) While UTi notes that "[t]he Commission has statutory responsibility to ensure that parties implement agreements as approved by and filed with the Commission" (citations omitted), UTi contends that the Commission's authority "does not extend to agreements that are not filed with the [Commission]." (Mot. at 9.)

UTi made a similar argument in the *Streak Products* case, but the Commission rejected UTi's contention that "if the common carrier completely fails to comply with the Act and does not publish a tariff at all . . . a shipper may not receive a reparation award because there is no measure of damages – no 'delta between the service rate charged and the applicable tariff rate.'" *See Streak Products*, FMC No. 13-04, Order at 7-8 ([ALJ] Oct. 23, 2013). The Commission should likewise reject UTi's subject matter jurisdiction arguments here, as UTi should not be able to escape regulation by the Commission by deliberately failing to comply with the Act's filing requirements for service contracts like the Agreements between UTi and Carlstar.

(Carlstar Response at 3-4.)

Carlstar continues:

UTi also attempts to side-step Carlstar's allegation that UTi violated 46 U.S.C. § 41104(2) by charging rates greater than its published tariff, (Compl. ¶ 37), contending that the Complaint fails to discuss the "application or relevancy in any way of UTi's potential tariff[.]" (Mot. at 13). Similarly, UTi attempts to dodge Carlstar's allegation that UTi violated 46 U.S.C. § 41104(4) by charging unfair and potentially discriminatory fees, (Compl. ¶ 38), contending that Carlstar does not allege "facts suggesting that UTi provided services to Carlstar pursuant to a tariff[.]" (Mot. at 13.) The Commission should not dismiss Carlstar's claims at this juncture, and should instead permit Carlstar to discover whether and when UTi even filed

tariffs with the Commission and/or established some alternative Commission-compliant rate vehicle, and to discover their terms.

UTi needs to justify that the charges were covered by the service contracts, which it did not record, or were authorized by properly filed tariffs or an alternative Commission-compliant rate vehicle. UTi has promised documents to Carlstar for prior extensions to justify the charges. Yet, to date, UTi has not provided the full scope of requested documents, forcing Carlstar to seek the involvement of the Commission. However, the documents that are available clearly indicate that UTi charged amounts in excess of what the Agreements provided. A final resolution may require Carlstar to seek documents from third party carriers since UTi claims not to have retained the documentation.

Indeed, the Commission rejected similar arguments made by UTi in the Streak Products case, where the Court noted:

The Complaint alleges that “UTi issued invoices to Streak for FCL shipments in excess of the amounts set forth in UTi’s tariff,” that “UTi has overcharged [Streak] by billing amounts in excess of [UTi’s] lawful tariff from 2003 until the present,” and that UTi “charg[ed] Streak rates greater than those it charged other shippers.” These factual allegations, which must be taken as true when considering a motion to dismiss for failure to state a claim, “are detailed and informative enough to enable [UTi] to respond” to the allegation that UTi violated section 41104(4) by charging Streak rates greater than those it charged other shippers. UTi’s motion to dismiss the claim of violation of section 41104(4) is denied.

*See Streak Products*, FMC NO. 13-04, Order at 9 ([ALJ] Oct. 23, 2013) (internal citations omitted).

(Carlstar Response at 5-6.)

UTi was licensed by the Commission as both an NVOCC and an ocean freight forwarder. As set forth above, it was not clear from Carlstar’s Complaint, the Carlisle Transportation Products Agreement, or Carlstar’s opposition to UTi’s motion to dismiss whether Carlstar contends UTi was operating as an NVOCC or an ocean freight forwarder on the shipments that were subject to the Carlisle Transportation Products Agreement.<sup>6</sup> Therefore, Carlstar was ordered *sua sponte* to

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<sup>6</sup> Both NVOCCs and ocean freight forwarders are subject to the provisions of section 41102(c) of the Act, which applies to common carriers (including NVOCCs) and ocean transportation intermediaries. 46 U.S.C. § 40102(19). Section 41104 applies only to common carriers, however, and an ocean freight forwarder is not a common carrier. Therefore, if UTi

supplement its response to the motion to dismiss with a brief setting forth its contentions regarding the operational status of UTi on the shipments that were subject to the Agreement. As part of the supplemental response, Carlstar was directed to respond to the following questions:

1. Did UTi issue its own bills of lading on the shipments subject to the Carlisle Transportation Products Agreement?
2. Did vessel-operating common carriers or other NVOCCs issue bills of lading identifying UTi as the shipper on the shipments subject to the Carlisle Transportation Products Agreement?

*Carlstar v. UTi*, FMC No. 17-08, Order at 5 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents' Motion to Dismiss).

In its supplemental response, Carlstar states that “[i]t is Carlstar’s contention that UTi was operating as an NVOCC on the shipments that were subject to the . . . Agreement.” (Complainants’ Supplemental Memorandum in Opposition to Respondents’ Motion to Dismiss at 1-2.) Carlstar states that UTi issued its own bills of lading on the Carlisle shipments and that the vessel-operating common carriers issued bills of lading identifying UTi as the shipper on the Carlisle shipments. (Complainants’ Supplemental Memorandum in Opposition to Respondents’ Motion to Dismiss at 2.) Carlstar attached representative documentation to support these statements.

UTi filed a reply to Carlstar’s arguments in response to UTi’s motion and Carlstar’s supplemental brief. UTi states that UTi operated “exclusively” as an NVOCC on the Carlisle shipments. (Respondents’ Reply to Complainants’ Opposition and Supplemental Brief to Motion to Dismiss at 3.) UTi does not contest the documentation attached to Carlstar’s supplemental response demonstrating that UTi and vessel-operating common carriers issued bills of lading for the shipments.

## **B. Preliminary Ruling.**

The Preliminary Ruling stated that construing UTi’s argument as a facial attack on subject matter jurisdiction, the Complaint alleges that UTi, an ocean transportation intermediary licensed by the Commission to engage in international transportation of cargo by water, violated the Shipping Act while transporting cargo internationally for Carlstar. “It appears that this sufficiently alleges the

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operated as an ocean freight forwarder on the Carlisle shipments, it would not be subject to the provisions of section 41104. Furthermore, the Act defines “ocean freight forwarder” to be a person that “in the United States, dispatches shipments *from* the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers.” 46 U.S.C. § 40102(18)(A) (emphasis added). Performance of services comparable to ocean freight forwarder services on shipments *to* the United States is not subject to the provisions of the Shipping Act.

Commission's subject matter jurisdiction." *Carlstar v. UTi*, FMC No. 17-08, Order at 16 (ALJ Feb. 23, 2018) (Preliminary Ruling on Respondents' Motion to Dismiss). Construing UTi's argument as a factual attack on subject matter jurisdiction, it appears that the attack implicates the merits of Carlstar's claims and should be dealt with as a direct attack on the merits of Carlstar's case. "Therefore, it appears that UTi's motion to dismiss [the section 41104 claims] for lack of subject matter jurisdiction should be denied." (*Id.*)

Addressing the motion to dismiss the Complaint for failure to state a claim of sections 41104(2) and 41104(4), the Preliminary Ruling recognized UTi's acknowledgment that UTi operated as a common carrier (an NVOCC) on the shipments. Section 41104(2)(A) states that a common carrier may not provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a published tariff or a service contract. 46 U.S.C. § 41104(2)(A). Section 41104(4)(A) governs common carrier "service pursuant to a tariff." 46 U.S.C. § 41104(4)(A).

As set forth in Appendix A to the Carlisle-UTi Agreement, it appeared that the rates that Carlisle paid for transportation of its cargo resulted from joint Carlisle-UTi negotiations with ocean common carriers that responded to requests for proposals drafted by UTi in accordance with Carlisle's instructions. Carlisle and UTi jointly chose the carriers invited into the process. UTi assessed the carriers and presented its assessment to Carlisle for approval. UTi was responsible for signing ocean freight contracts and the subsequent minimum quantity commitment fulfillment. Rates and fees charged by UTi to Carlisle mirrored the actual rates, fees and charges between UTi and each ocean carrier. (Complaint Exhibit 1 Appendix A.)

The rates that UTi charged Carlisle for providing its services do not appear to be in accordance with a tariff, but the rates determined by the Agreement. UTi contends that the Agreement is not a service contract as defined by the Act, however. (Respondents' Reply to Complainants' Opposition and Supplemental Brief to Motion to Dismiss at 3-4.) If the service was not provided in accordance with a published tariff or a service contract, UTi's compliance (or non-compliance) with sections 41104(2)(A) and 41104(4)(A) is implicated.

Pursuant to section 40103(a) of the Act, 46 U.S.C. § 40103(a), the Commission may exempt classes of agreements from requirements of the Act. Exercising that authority, the Commission has exempted NVOCC Service Arrangements (NSAs) and NVOCC Negotiated Rate Arrangements (NRAs) from certain requirements. 46 C.F.R. Part 531 (NSAs); 46 C.F.R. Part 532 (NRAs). UTi was ordered to state whether it had transported the Carlisle shipments pursuant to a tariff, a service contract, an NSA, or an NRA. If it claimed that it had not transported the shipments pursuant to a tariff, service contract, NSA, or NRA, UTi was ordered to explain how it had complied with section 41104(2)(A) of the Shipping Act. Any factual assertions not based on documents already in the record should be supported by affidavit and/or other competent evidence. Carlstar was given an opportunity to respond to UTi's filing and UTi an opportunity to respond to Carlstar's filing. *Carlstar v. UTi*, FMC No. 17-08, Order at 25-28 (ALJ Feb. 23, 2018) (Preliminary Ruling on Respondents' Motion to Dismiss).

**C. Responses to Order for Supplemental Briefs and UTi's Request for Reconsideration.**

In its response to the Preliminary Ruling, UTi answered "No" to the four questions asking whether it transported the Carlisle cargo pursuant to a tariff, pursuant to a service contract, pursuant to an NSA, or pursuant to an NRA. (Respondents' Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 6-7.) In response to a question how its activities complied with section 41104(2)(A) of the Shipping Act that prohibits a common carrier from providing service in the liner trade that is not pursuant to a tariff or a service contract, contrary to its earlier statements, UTi now states that it did not operate as an NVOCC on the Carlstar shipments.

UTi functioned in a manner akin to an ocean freight forwarder (albeit for inbound shipments to the United States), negotiating favorable rates for Carlstar with ocean carriers, passing through those rates and surcharges without any mark-up and providing for the arrangement of transportation services in exchange for a management fee.

Despite UTi essentially functioning as an ocean freight forwarder with respect to the ocean import services provided to Carlstar, and UTi's practice of passing through all rates, fees and charges to Carlstar obtained from the respective underlying ocean carrier, UTi concedes that its overseas offices and agents, due to a lack of understanding of U.S. law and FMC regulations, did issue house bills of lading for the shipments handled for Carlstar and appeared on the master bills of lading issued by the ocean carriers. In this respect only UTi's services for Carlstar resembled those of a non-vessel-operating common carrier.

Given that the essential character of UTi's services for Carlstar were those of an ocean freight forwarder, the respective obligations of the Parties were governed by parameters and conditions set forth in the Carlisle Transportation Products Agreement. This Agreement did not constitute a valid tariff, service contract, NVOCC Service Arrangement or NVOCC Negotiated Rate Agreement. Instead the Agreement was a commercial contract, the alleged breach of which should be resolved by arbitration per the Agreement's specific dispute resolution provision.

(*Id.* at 7-8.) UTi contends that it "passed through actual rates, fees and charges from the ocean carriers without any mark-up by UTi. In exchange for its services, UTi charged a fixed ocean management fee and certain other specified charges or fixed fees, such as a brokerage fee, handover charges and container management fees." (*Id.* at 9.)

UTi seeks reconsideration of the ruling that the Commission has subject matter jurisdiction over Carlstar's Complaint. UTi confirmed that it was making a facial challenge to subject matter jurisdiction using the plausibility standard outlined in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544

(2007), and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009), contending that the Complaint is insufficient “without specifying specific portions of the Act and/or providing particularized facts in support which could plausibly give rise to a determination of subject matter jurisdiction.” (*Id.* at 5.)

To the extent that the February 23, 2018 Preliminary Ruling suggests that an assertion that UTi ‘violated the Shipping Act while transporting cargo internationally for Carlstar’ is in and of itself sufficient to plausibly give rise to the Commission’s subject matter jurisdiction, Respondents respectfully request reconsideration of this preliminary ruling.

(*Id.* at 6 (citations to record omitted).)

In its response, Carlstar contends that UTi did operate as an NVOCC. Carlstar “expressly notes that UTi has already conceded that ‘UTi operated “exclusively” as an NVOCC on the shipments.’ Nonetheless, UTi now inexplicably reverses course and contends in response to Your Honor’s Question 5 that it did not function as an NVOCC.” (Carlstar Response at 4 (citations to record omitted).)

UTi[] contends, in its responses to Your Honor’s Questions 1-4, that UTi did not provide services described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in: (1) a tariff; (2) a service contract; (3) a valid NVOCC Service Arrangement as permitted by and in compliance with 46 C.F.R. Part 531; or (4) a valid NVOCC Negotiated Rate Arrangement as permitted by and in compliance with 46 C.F.R. Part 532. Therefore, according to UTi’s own factual position, UTi failed to comply with Section 41104(2)(A).

(*Id.* at 5.) Carlstar continues:

Moreover, . . . it appears that the . . . Agreement at issue in this case is properly characterized as an [NSA] as defined under 46 C.F.R. § 531.3(p), where Carlstar was the NSA shipper, UTi was the NVOCC, and Carlstar granted UTi an exclusive NVOCC role – agreeing to provide UTi one hundred percent (100%) of its cargo or freight revenue during the original and amended contract terms, and UTi committed to the specific rates and service levels set forth in the . . . Agreement.

(*Id.* at 6.)

UTi denies that the Agreement was an NSA.

The Agreement and amendments thereto did not serve as an NSA. NSAs must specify origin and destination port ranges and the line-haul rate, and must have a certainty of terms. Further, NSAs must be filed with the Commission. Not only did

UTi and Carlstar not intend the Agreement to be an NSA and, therefore, had no obligation to file the Agreement with the Commission, but per Commission regulations an agreement cannot be an effective NSA unless filed. An “unfiled NSA,” in other words, is a contradiction of terms. It is clear from the format of the Agreement – which is not in a format in which NSAs are typically drafted – and from Carlstar’s failure to ever mention an NSA or to inquire as to the status of its filing during the many years of dealings between the Parties that Carlstar did not intend for the Agreement to be an NSA.

(Respondents’ Reply to Complainants’ March 23, 2018 Response to Respondents’ Supplemental Memorandum at 3.)

## **B. Discussion.<sup>7</sup>**

“A person may file with the . . . Commission a sworn complaint alleging a violation of [the Shipping Act].” 46 U.S.C. § 41301(a). The Commission has subject matter jurisdiction over allegations that “involve elements peculiar to the Shipping Act.” *Cargo One v. COSCO*, 28 S.R.R. at 1645.

[U]nder Rule 12(b)(1), the court may find a plausible set of facts by considering any of the following: “(1) the complaint alone; (2) the complaint supplemented by the undisputed facts evidenced in the record; or (3) the complaint supplemented by undisputed facts plus the court’s resolution of disputed facts.”

*Lane v. Halliburton*, 529 F.3d 548 (5th Cir. 2008), quoting *Barrera-Montenegro v. United States*, 74 F.3d 657, 659 (5th Cir. 1996). Federal Rule 12(d) provides:

If, on a motion under Rule 12(b)(6) or 12(c), matters outside the pleadings are presented to and not excluded by the court, the motion must be treated as one for summary judgment under Rule 56. All parties must be given a reasonable opportunity to present all the material that is pertinent to the motion.

Fed. R. Civ. P. 12(d).

[O]n a motion to dismiss, a court may consider “documents attached to the complaint as an exhibit or incorporated in it by reference, . . . matters of which judicial notice may be taken, or . . . documents either in plaintiffs’ possession or of which plaintiffs had knowledge and relied on in bringing suit.” Because this standard has been misinterpreted on occasion, we reiterate here that a plaintiff’s *reliance* on the terms

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<sup>7</sup> The preliminary ruling found that the Commission has subject matter jurisdiction. UTi seeks reconsideration, arguing that the Complaint is facially defective. No preliminary ruling was made on the motion to dismiss for failure to state a claim.

and effect of a document in drafting the complaint is a necessary prerequisite to the court's consideration of the document on a dismissal motion; mere notice or possession is not enough. *See* [*Cortec Indus., Inc. v. Sum Holding L.P.*, 949 F.2d 42, 47-48 (2d Cir. 1991)].

*Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002) (emphasis and ellipses in original) (footnote omitted).

Carlstar cited to each of their exhibits attached to the Complaint and relied on them when they drafted the Complaint. Therefore, I conclude that the exhibits are integral to the Complaint and may be considered in connection with the motion to dismiss without treating it as a motion for summary judgment as provided by Federal Rule 12(d). At the request of the undersigned, Carlstar provided representative samples of bills of lading for the transportation of Carlisle cargo issued by UTi and by VOCCs with its response to the January 2, 2018, Order. These documents are also integral to the Complaint.

The Commission regulates the common carriage of goods by water in the foreign commerce of the United States. 46 U.S.C. § 40101. The Carlisle shipments were transported by water in the foreign commerce of the United States. UTi, an NVOCC licensed by the Commission to transport cargo by water between ports or points in the United States and ports or points in foreign countries, is alleged to have operated as an NVOCC on the shipments. UTi now contends that it was not operating as an NVOCC on the shipments, but that it functioned in a manner akin to an ocean freight forwarder. The Commission has subject matter jurisdiction to determine whether UTi operated as an NVOCC or “functioned in a manner akin to an ocean freight forwarder (albeit for inbound shipments to the United States),” and whether or not it violated the Shipping Act on the shipments. Therefore, the motion to dismiss for lack of subject matter jurisdiction is denied.

UTi also moves for dismissal under Rule 12(b)(6) for failure to state a claim. The facts alleged in the Complaint, the documents on which Carlstar relied when drafting the Complaint, and facts of which official notice may be taken support the following findings for the purpose of ruling on the motion to dismiss for failure to state a claim.

- UTi was an NVOCC licensed by the Commission to transport cargo by water between ports or points in the United States and ports or points in foreign countries.
- The Carlisle Products Transportation Agreement contemplates that UTi will be handling, storing, and transporting Carlisle property. (Complaint Exhibit 1 ¶ 5.)
- Under the Agreement, UTi is responsible for signing ocean freight contracts and for the subsequent Minimum Quantity commitment fulfillment. (Complaint Exhibit 1 Appendix A.)
- UTi charges rates and pledges to modify its rate structures as rates change. (Complaint Exhibit 1 ¶ 3.)
- Undisputed documents in the record demonstrate that UTi issued bills of lading for the transportation and that VOCCs issued bills of lading identifying UTi as the shipper for

Carlisle shipments that were transported by water between a port in a foreign country and a port in the United States.

Furthermore, while addressing the section 41102(c) claim in its motion to dismiss, UTi stated “[i]t is well established that [section 41102(c)] relates not to alleged overcharges and billing issues that arise after the shipment has been completed, but to unreasonable practices connected with the handling, storage or delivery of freight and property when it is in the custody of the NVOCC.” (Motion to Dismiss at 11.) “None of Complainants’ claims allege any mishandling of cargo or *any failure by UTi to appropriately transport or deliver its cargo as instructed.*” (*Id.* at 12 (emphasis added).) These statements suggests that when UTi filed its motion to dismiss, it considered itself to be operating as an NVOCC handling, transporting, and delivering Carlisle’s shipments. In its Reply to Carlstar after the undersigned instructed Carlstar to state whether it claimed UTi was operating as an NVOCC or as an ocean freight forwarder, UTi stated that “[o]ver the course of its existence, UTi operated exclusively as a non-vessel-operating common carrier (‘NVOCC’).” (Reply at 4.) If UTi believed it was not operating as an NVOCC between 2011 and 2016 when it was performing services carrying out its duties under the Agreement, it is not likely that it would have made these statements.

UTi now claims that it was not operating as an NVOCC, but that its “essential functions with respect to Carlstar were those of an ocean freight forwarder,” albeit on shipments coming to the United States, not shipments from the United States.

UTi concedes that its overseas offices and agents, due to a lack of understanding of U.S. law and FMC regulations, did issue house bills of lading for the shipments handled for Carlstar and appeared on the master bills of lading issued by the ocean carriers. In this respect only UTi’s services for Carlstar resembled those of a non-vessel-operating common carrier.

(Respondents’ Supplemental Memorandum in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling at 8.)<sup>8</sup>

Determining whether an intermediary operated as an ocean freight forwarder or an NVOCC on any particular shipment requires an examination of what it actually does on that shipment, as “an intermediary’s *conduct*, and not what it labels itself, will be determinative of its status.” *Bonding of Non-Vessel-Operating Common Carriers*, 25 S.R.R. 1679, 1684 (FMC 1991) (Final Rule) (emphasis added); *Rose Int’l, Inc. v. Overseas Moving Network Int’l Ltd., et al.*, 29 S.R.R. 119, 171 (FMC 2001) (“[A] carrier’s status is determined by the nature of its service offered to the public and not upon its own declarations.” [*Tariff Filing Practices, Etc., of Containerships, Inc.*, 9 F.M.C. 56, 64 (FMC 1965)], citing [*Bernhard Uhlmann v. Porto Rican Express Co.*, 3 F.M.B. 771, 775 (FMB

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<sup>8</sup> Although UTi is taking a position contrary to one taken earlier in this proceeding, it does not appear that judicial estoppel would apply to prevent it from arguing that it did not operate as an NVOCC on the Carlisle shipments. See *New Hampshire v. Maine*, 532 U.S. 742, 749-51 (2001) (addressing when judicial estoppel should apply).

1952]]”). See also *Possible Violations of Section 18(a) of the Shipping Act, 1916*, 16 S.R.R. 425, 431-439 (ALJ 1975) (evaluating factors). “[T]he question whether an entity is a freight forwarder [or an NVOCC on a particular shipment] is a mixed question of law and fact.” *Prima U.S. Inc. v. Panalpina, Inc.*, 223 F.3d 126, 129 (2d Cir. 2000).

On a motion to dismiss for failure to state a claim based on a record showing that UTi is a licensed NVOCC that (even through its agents) issued bills of lading for a period of five years on the Carlisle shipments, and operated pursuant to an Agreement that contemplates that UTi will be handling, storing, and transporting Carlisle property, it cannot be found as a matter of law that UTi was *not* operating as an NVOCC on the Carlisle shipments.

Section 41104(2)(A) states that a common carrier may not provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a published tariff or a service contract. 46 U.S.C. § 41104(2)(A). UTi states that it did not transport the Carlisle cargo pursuant to a tariff, service contract, NSA, or NRA. Therefore, if it operated as an NVOCC on the shipments, it may have violated section 41104(2)(A) of the Act. If the evidence were to support a finding that the Carlisle Agreement was actually an NSA, (“[f]ailure to comply with the provisions of [the NSA regulations] shall result in the application of the terms of the otherwise applicable tariff.” 46 C.F.R. § 531.12(g). Therefore, the claims of violation of section 41104 should not be dismissed at this time. Carlstar alleges that it was injured when UTi charged rates that were not authorized by the Agreement or a tariff. The Complaint and the records on which it relies state a plausible claim that UTi violated the Shipping Act. Therefore, the motion to dismiss for failure to state a claim of violation of sections 41104(2) and 41104(4) is denied.

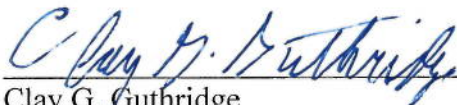
## ORDER

Upon consideration of Respondents’ Motion to Dismiss, the opposition thereto, the subsequent filings of the parties, and the record herein, it is hereby

**ORDERED** that the motion to dismiss the Complaint based on the arbitration claims in the Carlisle Transportation Products Agreement be **DENIED**. It is

**FURTHER ORDERED** that the motion to dismiss the claim of violation of section 41102(c) of the Shipping Act of 1984, 46 U.S.C. § 41102(c), be **GRANTED**. It is

**FURTHER ORDERED** that the motion to dismiss the claim of violation of sections 41104(2) and 41104(4) of the Shipping Act of 1984, 46 U.S.C. §§ 41104(2) and 41104(4), be **DENIED**.

  
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Clay G. Guthridge  
Administrative Law Judge